

Paying Down Debt on Your Own

Once you realize and accept the fact that you have too much credit card debt, the question is, what are you willing to do about it? The first step is to put the credit cards away, or better yet, cut them up and cancel them. Then consider the following options to see which ones might work for you.

Use Your Savings or Sell Something of Value

If you have something of value, consider selling it. You may have some stocks, savings bonds, or mutual funds you could cash in. Do you own a collection of some sort that has value? If you're earning less than 3 to 4 percent interest on your savings account while paying 12 to 21 percent on credit cards, you may need to use your savings to pay off debt in order to prevent ruining your credit, but try to leave yourself a savings cushion.



ESSENTIAL

Find out how long it will take to become debt-free and how much you'll pay in interest by making the minimum monthly payments by using the Debt Reduction Planner calculator in the personal-finance section of CNNMoney (www.cnnmoney.com).

Use the Equity in Your Home

Using the equity in your home may be another option. If interest rates are lower than your current mortgage rate, and you haven't yet damaged your credit, you may be able to refinance and roll your debts into the new mortgage. If that's not an option, you might be able to get a home equity loan or line of credit to pay off your other debts. Rates on mortgages and